

Synthetix

Many traditional derivative products have a decentralized counterpart. DeFi, however, allows new types of derivatives because of smart contracts. Synthetix³⁰ is developing such a new type of derivative.

Imagine creating a derivative cryptoasset, whose value is based on an underlying asset that is neither owned nor escrowed. Synthetix is one group whose primary focus is creating a wide variety of liquid synthetic derivatives. Its model is, at a high level, straightforward and novel. The company issues *Synths*, tokens whose prices are pegged to an underlying price feed and are backed by collateral. MakerDAO's DAI is also a synthetic asset. The price feeds come from the Chainlink's³¹ decentralized oracles.³² Synths can theoretically track any asset, long or short, and even levered positions. In practice, there is no leverage, and the main tracked assets are cryptocurrencies, fiat currencies, and gold.

A long Synth is called an *sToken*, for example, a sUSD or a sBTC. The sUSD is a synthetic because its value is based on a price feed. A short Synth is called an *iToken*, for example, an iETH or an iMKR. Synthetix also has a platform token called SNX. SNX is not a governance token like MKR and COMP, but is a *utility token* or a *network token*, which means it enables the use of Synthetix functionality as its only feature. SNX serves as the unique collateral asset for the entire system. When users mint Synths against their SNX, they incur a debt proportioned to the total outstanding debt denominated in USD. They become *responsible* for this percentage